



Investor.gov
**U.S. SECURITIES AND
EXCHANGE COMMISSION**

Understand What It Means to Invest

When investing, you have a greater chance of losing your money than when you save. Unlike FDIC-insured deposits, the money you invest in securities (/glossary/glossary_terms/security), mutual funds (/glossary/glossary_terms/mutual-fund), and other similar investments are not federally insured. You could lose your “principal,” which is the amount you’ve invested. That’s true even if you purchase your investments through a bank. But when you invest, you also have the opportunity to earn more money. On the other hand, investing involves taking on some degree of risk.

[Save for a Rainy Day \(/introduction-investing/investing-basics/save-and-invest/save-rainy-day\)](/introduction-investing/investing-basics/save-and-invest/save-rainy-day)

[Up \(/Introduction-Investing/Investing-Basics/Save-And-Invest\)](/Introduction-Investing/Investing-Basics/Save-And-Invest)

[Diversify Your Investments](#) [Investing with a Long-Term Goal](#)